



AI Insurance Is Coming, Here's Why

Artificial intelligence is a powerful tool, but it may pose some risks if used incorrectly. These risks can be unknown or uncontrollable and hence, you need to find other ways to deal with it



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Artificial intelligence (AI) is not only a powerful tool, it can also be a highly risky technology if used incorrectly. No matter how much you take care, there still might be some lurking risks, which are either unknown or uncontrollable, and that means you will be needing a different way of risk-management.

If you perform a thorough pre-mortem analysis, please ensure that training and testing are complete. A stress test of all the systems with the help of red teams will make you more confident about their performance. However, there still might be some risks that are unidentified, or identified but can't be anticipated or controlled. Such residual risks can be dealt with by way of transference.

Transference or risk transfer is a risk management and control strategy that involves the contractual shifting of a pure risk from one party to another. One example is the purchase of an insurance policy, by which a policyholder passes the specified risk of loss to the insurer.

Currently available options and their limitations

If you have an IT solution, which is the closest equivalent for an AI solution, a few options are already available in the market for transferring some of the risks.

Information Technology Liability (IT Liability) insurance covers claims arising from the failure of information technology products, services, and/or advice.

The information technology (IT) industry has unique liability exposures due to the crossover between the provision of professional services and supply of goods. Many service providers in this industry offer a mix of both goods and services. It gets further complicated by the legal ambiguity around software advice and development and whether it is, in fact, the provision of a service or sale of goods.

Traditional Professional Indemnity insurance policies often have onerous exclusions relating to the supply of goods. In contrast, traditional Public and Products Liability policies often contain exclusions relating to the provision of professional services.

Many insurers have developed a range of insurance options to address these issues, which they commonly refer to as IT liability policies. These policies represent a combination of Professional Indemnity and Public and Products Liability insurances bundled into one product. These policies were developed to minimise the prospect of an uninsured claim due to its 'falling between the gaps' between the two traditional insurance products.

However, the added complexity of AI